HRM - Unit III

Training, Performance Appraisal, Career Management and Succession Planning

> **Contents:** Part A Notes · Part B Important questions · Part C Detailed model answers (2, 3, 5, 6 and 10 marks) · Part D MCQs with answers at the end.
> BBA III Sem · Human Resource Management · CSJM University. Built from your syllabus image, the HRM Four Units Comprehensive Notes PDF and the earlier HRM PDFs.

Part A - Notes

> **Syllabus - Unit III (12 lectures) - Development & Performance Management:** Training & development: need and importance; identifying training needs; methods of training (on-the-job vs off-the-job); evaluating training effectiveness. Performance appraisal: concept and objectives; traditional vs modern methods (MBO, 360-degree appraisal, BARS); common biases in performance evaluation. Career planning & development: concept of career stages, succession planning, individual vs organisational career management.

1. Training and development

Training is a short-term, systematic process of imparting specific knowledge and skills required for a **present job** (Flippo: the act of increasing an employee's knowledge and skill for doing a particular job). **Development** is a long-term, education-oriented process aimed at overall growth and **future roles**; it is person-centred and builds conceptual and managerial ability.

Basis	Training	Development
Focus	Present job	Future role
Term	Short term	Long term
Orientation	Job / technical	Career / conceptual
Initiated by	Mainly organisation	Individual and organisation
Nature	Specific and narrow	Broad and general

> **Mnemonic:** Training = Today; Development = Tomorrow.

2. Need and importance of training

Organisation: bridges skill gaps; improves quality and productivity; reduces wastage, errors and accidents; reduces supervision; prepares employees for higher responsibility; strengthens competitiveness and succession planning. **Employee:** adapts to technology and changing jobs; increases confidence, morale and job satisfaction.

> **Mnemonic: Q-P-S-C-S + M-C** = Quality, Productivity, Safety, Cost/supervision, Succession + Morale, Change.

3. Training process - six steps

> **Flow:** Assess organisational objectives → Training needs analysis → Set training goals → Design programme → Execute → Evaluate

> **Mnemonic: A-T-G-D-E-E** = Assess, TNA, Goals, Design, Execute, Evaluate.

4. Training needs analysis (TNA)

TNA is the systematic identification of the **gap between the knowledge, skills and performance required for a**

job and those actually available.

Level	Asks	Examines
Organisational analysis	WHERE?	Goals, resources, efficiency indicators and climate - where can training help
Task / operational analysis	WHAT?	Job duties, standards and skills - what should be taught
Individual / person analysis	WHO?	Individual performance - who needs training and in what area

Methods of TNA: observation, interviews, surveys, performance appraisals, job analysis, focus groups (**O-I-S-A-J-F**). Mnemonic for levels: **O-T-I**.

5. On-the-job training (OJT)

Given at the actual workplace while the trainee performs real work.

- **Job rotation** - move across jobs / departments
- **Coaching** - experienced person guides one-to-one
- **Job Instruction Training (JIT)** - prepare → present → try-out → follow-up
- **Committee assignments** - solve real problems in a team
- **Understudy** / **apprenticeship** - work under a senior to learn the role
- **Internship** - practical exposure for a fixed period
- **Mentoring** - longer-term developmental guidance

6. Off-the-job training

Conducted away from the work spot so trainees can focus on learning.

- **Lecture** / **classroom** - theory and concepts
- **Case study** - analyse real or simulated problems
- **Role playing** - act out situations to build interpersonal skill
- **Business games** / **simulation** - practise decision-making
- **Sensitivity training** / **T-group** - self-awareness and interpersonal sensitivity
- **Vestibule training** - practise on replica equipment away from production
- Also: programmed instruction, conference / discussion, in-basket, brainstorming, field trips, e-learning

Basis	OJT	Off-the-job
Place	Actual workplace	Away from workplace
Cost	Usually cheaper	Usually costlier
Approach	Practical	More theoretical / conceptual
Best fit	Production / job-specific work	Managerial and non-production learning
Trainer	Often an experienced employee	Experts / trainers
Principle	Learning by performing	Learning by acquiring knowledge

Merit / **demerit:** OJT is practical and low cost, but a poor trainer or disturbance to production may affect learning; off-the-job gives controlled learning but may be costly and lacks real conditions.

7. Management development

A planned, continuous process of improving the conceptual, human and decision-making abilities of present and future managers. **On-the-job:** job rotation, coaching, understudy. **Off-the-job:** case study, in-basket, sensitivity training. **Objectives:** improve managerial performance, prevent skill obsolescence, identify future leaders.

8. Training effectiveness and evaluation

Evaluation checks whether the programme met its objectives, improved learning and behaviour, improved organisational performance and generated value (ROI).

Kirkpatrick level	Question	Method
1. Reaction	How did they feel?	Feedback forms
2. Learning	What did they learn?	Tests before / after
3. Behaviour	Did work change?	Supervisor observation
4. Results	Business impact	Performance data

CIPP model (Stufflebeam)	Meaning
Context	Need / problem - Why?
Input	Resources and plan - With what?
Process	Implementation - How executed?
Product	Outcomes - What came out?

Other models: CIRO (Context, Input, Reaction, Outcome), Phillips ROI (adds ROI as a fifth level), Kaufman five levels, Brinkerhoff Success Case Method. **Tools:** questionnaires / feedback forms, written tests, performance observation and checklists, interviews and focus groups, performance metrics and business data. **Mnemonics:** R-L-B-R; C-I-P-P.

9. Performance appraisal

Performance appraisal is the systematic evaluation of an employee's performance and potential in relation to job requirements and organisational expectations (Beach: also his / her potential for development). It is systematic, objective, periodic and planned.

Objectives: feedback and strengths / weaknesses; promotion, transfer and other decisions; training and development needs; performance standards; compensation and rewards; basis for career development and succession planning. **F-P-T-S-C-C**.

Process (steps)

> **Flow:** Establish standards → Communicate standards → Measure actual performance → Compare with standards → Discuss results (feedback) → Decision / corrective action

Traditional methods	Modern methods
Ranking, paired comparison, forced distribution, graphic rating scale, checklist, essay, critical incidents, field review, group appraisal, confidential reports	MBO, 360-degree feedback, BARS, assessment centre, human asset accounting

Method	Key point
Straight ranking	Best to worst
Paired comparison	Each employee compared with every other, one trait at a time
Forced distribution	Fit employees into set categories (outstanding ... poor)
Critical incident	Dated records of good and bad incidents
MBO	Manager and employee agree objectives; judged on results (Drucker, McGregor); SMART goals
360-degree	Feedback from superiors, peers, subordinates and sometimes customers
BARS	Behavioural statements anchored to performance levels (5 Outstanding ... 1 Poor)
Assessment centre	Simulated tasks rated by observers; German Army, 1930

Common appraisal biases

Bias	Meaning

Halo effect	One strong quality influences the whole rating
Horns effect	One negative quality lowers the whole rating
Recency effect	Recent performance dominates judgement
Leniency	Unusually high scores
Strictness	Unusually low scores
Central tendency	Avoids extremes; scores near the middle
Similarity bias	Favours people who resemble the rater
Contrast effect	Rating influenced by comparison with another employee rather than the standard

> **Mnemonic: H-H-R-L-S-C-S-C**.

Minimising biases: train appraisers, clear KPIs, regular two-way feedback instead of once-a-year reviews, technology, 360-degree feedback.

10. Career planning and development

Career planning: the process by which an individual identifies career goals and determines the path to achieve them. **Career development:** the ongoing process of building skills, experience and opportunities that support career growth. **Career path:** series of positions through which one can move (HR Executive → Sr Executive → HR Manager → Director).

Career stages

Stage	Meaning
Exploration	Interests and options are identified
Establishment	Entry and early growth
Mid-career	Consolidation, advancement or change
Late career	Mentoring, senior responsibility, preparation for retirement
Decline / retirement	Reduced work role and transition

Succession planning

Systematic identification and development of employees who can take over key positions when vacancies arise; it reduces disruption, preserves organisational knowledge and supports leadership continuity. Steps: identify positions → identify employees → set standards → assess potential → review → link with HR systems → feedback → measure effectiveness. Types: strategic leadership development, departure-defined, emergency / interim. Challenges: lack of buy-in, limited resources, incomplete information.

Individual career management	Organisational career management
Self-assessment, career goals, skill development, job choices and career decisions	Career paths, development programmes, internal mobility, succession planning, opportunities

Memory line: the individual chooses the direction; the organisation creates the opportunities. Responsibilities: individual - self-assessment and goals; manager - feedback and coaching; organisation - opportunities, training, paths.

> **Unit III - most probable questions**
>
> - Define training and distinguish training from development.
> - Explain TNA process / levels and methods.
> - List and explain on-the-job and off-the-job training methods; OJT vs off-the-job.
> - Explain Kirkpatrick and CIPP models and methods of evaluation.
> - Define performance appraisal; objectives; traditional vs modern methods.
> - Explain MBO, 360-degree appraisal and BARS.

- Discuss common biases in performance evaluation.
- Explain career stages and succession planning.

Part B - Important questions

1. Define training and development. Explain their need and importance for employees and organizations in a competitive environment.
2. Explain the process of identifying training needs. Discuss the three levels of analysis with suitable examples.
3. Discuss the various on-the-job and off-the-job training techniques. OR Compare on-the-job and off-the-job training methods. Discuss merits and demerits.
4. How is the effectiveness of training evaluated? Explain various training evaluation models.
5. Define performance appraisal and explain its concept and objectives. Why is it considered an important tool of HRM?
6. Distinguish between traditional and modern methods of performance appraisal.
7. Discuss the common biases in performance appraisal. How can an organization minimize them?
8. Define career planning and career development. Explain their objectives and importance for both employees and organizations.
9. What is succession planning? Explain its process, objectives and benefits. How does it ensure leadership continuity in an organization?
10. Distinguish between individual career management and organizational career management. Discuss the responsibilities of the individual, the manager and the organization.

Part C - Detailed model answers (32 answers)

Q1. [2 marks] Define training and development.

Training & Development

Training is a planned effort to improve an employee's knowledge, skills and attitude for the **present job**. **Development** is the long-term growth of employees to prepare them for **future roles and responsibilities**.

- Training is short term and job-specific; development is long term and career oriented.
- Both raise performance and prepare employees for change.

Example: Teaching a cashier to use new billing software (training); preparing a manager for the director's post (development).

Marking scheme: Both definitions 1.5 · example 0.5

Asked in: Important Questions - Unit 3, Q1

Q2. [3 marks] Distinguish between training and development.

Training & Development

Basis	Training	Development
Meaning	Improving skills for the present job	Growth for future positions
Time period	Short term	Long term
Focus	Job-specific skills	Overall growth and career
Who	Mostly workers and operatives	Mostly managers

Training improves present performance; development prepares for future roles.

Marking scheme: Three differences 1 each

Asked in: Important Questions - Unit 3, Q1

Q3. [6 marks] Define training and development. Explain their need and importance for employees and organisations in a competitive environment.

Training & Development

Introduction

In a competitive environment skilled and adaptable employees decide success. **Training** improves skills for the present job (short term); **development** prepares people for future roles (long term).

Need

- Rapid change in technology and job requirements.
- Gap between required and actual performance.
- New employees need induction and skills.

Importance

For employees	For the organisation
Better skills and confidence	Higher productivity and quality
Career growth and promotion	Lower turnover and absenteeism
Job security and satisfaction	Competitive advantage and flexibility
Fewer mistakes and accidents	Better customer service

Marking scheme: Definitions 2 · need 1.5 · importance 2.5

Asked in: Important Questions - Unit 3, Q1

Q4. [6 marks] Explain the process of identifying training needs. Discuss the three levels of

analysis with suitable examples.

Training & Development

Introduction

A **training need** is the gap between the required and the actual performance. Needs are identified through analysis at three levels.

Level	What is studied	Example
Organisational analysis	Organisation's goals, resources and climate - where is training needed?	The firm adopts a new software, so staff need training
Task (job) analysis	Knowledge and skills required to perform the job	A cashier needs billing-system skills
Person analysis	Which employees need training and what type, based on appraisal results	An executive with low sales scores needs selling skills

Process

1. Study the organisation's goals and plans.
2. Analyse the job and the skills required.
3. Assess employees' performance gaps.
4. Prepare the training plan.

Marking scheme: Introduction 1 · three levels with examples 4 · process 1

Asked in: Important Questions - Unit 3, Q2

Q5. [10 marks] Discuss the various on-the-job and off-the-job training techniques. Compare them and discuss their merits and demerits.

Training & Development

1. Introduction

Training methods are broadly classified into **on-the-job** (given at the workplace while working) and **off-the-job** (given away from the actual work).

2. On-the-job methods

- **Coaching:** learning from a supervisor or mentor at the workplace.
- **Job rotation:** moving the employee through different jobs to widen skills.
- **Apprenticeship:** learning a skill under an experienced person for a long period.
- **Understudy:** training a person to take over the superior's job.

3. Off-the-job methods

- **Lectures:** classroom or seminar teaching.
- **Case study:** discussion of real business situations.
- **Role playing:** acting out situations.
- **Simulation / vestibule training:** a replica of the workplace away from production lets trainees practise without disturbing production.

4. Comparison

Basis	On-the-job	Off-the-job
Place	At the workplace	Away from work
Merits	Practical and low cost; learning by doing	Controlled learning; no disturbance to production; theory and concepts
Demerits	A poor trainer or disturbance to production may affect learning	May be costly and lacks real work conditions
Suitable for	Practical skills	Conceptual and technical knowledge

Example: A bank trains a new clerk by job rotation (on the job) and sends the officer to a classroom case-study

workshop (off the job).

5. Conclusion

A combination of both methods gives the best results because it joins practice with theory.

Marking scheme: Introduction 1 · on-the-job 2 · off-the-job 2 · comparison 3 · example 1 · conclusion 1

Asked in: Important Questions - Unit 3, Q3

Q6. [5 marks] How is the effectiveness of training evaluated? Explain various training evaluation models.

Training Evaluation

Introduction

Training evaluation measures **whether training achieved its objectives** and whether the cost was worth it. The best-known model is **Kirkpatrick's four-level model**.

Level	Measures	Method
1. Reaction	Trainees' satisfaction with the programme	Feedback forms
2. Learning	Knowledge and skills gained	Tests before and after
3. Behaviour	Whether trainees use the learning on the job	Supervisor observation
4. Results	Impact on organisational results (productivity, quality, cost)	Performance data

Conclusion: evaluation at all four levels shows if training is useful and where to improve it.

Marking scheme: Introduction 1 · four levels 3.5 · conclusion 0.5

Asked in: Important Questions - Unit 3, Q4

Q7. [2 marks] Define performance appraisal.

Performance Appraisal

Performance appraisal is a process of **evaluating an employee's performance of a job in terms of its requirements**. According to Beach, it is the systematic evaluation of the performance of an individual on the job and also his or her **potential for development**.

- It is systematic, objective, periodic and planned.
- Its results are used for pay, promotion and training decisions.

Example: A yearly review of a salesperson's targets and achievements.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q8. [3 marks] Explain the objectives of performance appraisal.

Performance Appraisal

Performance appraisal serves several purposes for both employees and the organisation.

1. **Compensation and promotion decisions:** pay rises, bonus and promotions are based on performance.
2. **Training and development:** weak areas show who needs training.
3. **Feedback and personal development:** employees learn how they are doing and how to improve.

It also helps in placement, motivation and manpower planning.

Marking scheme: Three objectives with explanation 2.5 · other points 0.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q9. [5 marks] Explain the process of performance appraisal.

Performance Appraisal

Introduction

Performance appraisal is carried out in a series of steps.

1. **Establishing performance standards** - the first step: what is expected from each job.
2. **Communicating standards** and expectations to the employees.
3. **Measuring actual performance** - by observation, reports and records.
4. **Comparing actual performance with standards.**
5. **Discussing the results** with the employee - giving feedback.
6. **Decision making and corrective action** - the last step: pay rise, promotion, training or other action.

Conclusion: measuring comes before comparing, and decisions follow the discussion.

> **Marking scheme:** Introduction 0.5 · six steps 4 · conclusion 0.5

Asked in: · Unit 3 Performance Appraisal slides

Q10. [6 marks] Define performance appraisal and explain its concept and objectives. Why is it an important tool of HRM?

Performance Appraisal

Introduction

Performance appraisal is a process of evaluating an employee's performance of a job in terms of its requirements. Beach: the systematic evaluation of the performance of an individual on the job and also his or her potential for development.

Concept

- Systematic and planned - not casual opinion.
- Objective - based on set standards.
- Periodic - done at regular intervals.
- It judges both present performance and future potential.

Objectives

- Compensation and promotion decisions.
- Training needs.
- Feedback and personal development.

Importance

It links employee efforts to organisational goals, motivates people through feedback and gives facts for most HR decisions - pay, promotion, transfer, training and career planning.

> **Marking scheme:** Definition 1.5 · concept 1.5 · objectives 1.5 · importance 1.5

Asked in: Important Questions - Unit 3, Q5 · Unit 3 Performance Appraisal slides

Q11. [10 marks] Distinguish between traditional and modern methods of performance appraisal.

Performance Appraisal

1. Introduction

Methods of appraisal are classified as traditional (older, trait-based, supervisor judgement) and modern (results- and development-oriented, with wider participation).

2. Traditional methods

Method	Meaning
Straight ranking	Employees are ranked from best to worst

Paired comparison	Each employee is compared with every other, one trait at a time
Forced distribution	Employees are fitted into set categories such as outstanding, above average, average, below average, poor
Critical incident	Dated records of specific positive and negative incidents
Field review	A trained HR person in the field supports line managers in rating
Group appraisal	A panel evaluates the employee
Others	Grading scale, checklist, essay, confidential reports, performance tests

3. Modern methods

Method	Meaning
Assessment centre	Participants perform tasks in simulated environments and assessors rate them; first used in the German Army in 1930
MBO (appraisal by results)	Employee and manager set SMART goals jointly (Drucker, McGregor); performance is judged against them
360-degree appraisal	Superiors, subordinates and peers rate the employee
BARS	Behaviourally Anchored Rating Scale: numerical scale (5 Outstanding to 1 Poor) anchored to behaviour examples
Human asset accounting	Values people as assets in money terms

4. Distinction

Basis	Traditional	Modern
Focus	Personal traits and past performance	Results, behaviour and development
Rater	Usually the supervisor	Several raters
Objectivity	More subjective	More objective
Cost	Low	Higher

5. Conclusion

Traditional methods are simple but subjective; modern methods are more objective and development-oriented but costlier. A mix suits most organisations.

Marking scheme: Introduction 1 · traditional 2.5 · modern 2.5 · distinction 3 · conclusion 1

Asked in: Important Questions - Unit 3, Q6 · Unit 3 Performance Appraisal slides

Q12. [3 marks] Write short notes on: (a) BARS (b) MBO (c) 360-degree appraisal.

Performance Appraisal

1. **BARS (Behaviourally Anchored Rating Scale):** combines a rating scale with the critical incident idea. Each point on the numerical scale (5 Outstanding, 4 Very Good, 3 Satisfactory, 2 Needs Improvement, 1 Poor) is described by an example of behaviour.
2. **MBO (Management by Objectives):** also called appraisal by results. Employee and manager jointly set specific goals (SMART - Specific, Measurable, Achievable, Result-oriented, Time-bound) and performance is measured against them. It grew from the work of Drucker and McGregor.
3. **360-degree appraisal:** the employee is rated by superiors, subordinates and peers (and sometimes customers); multiple raters improve accuracy.

Marking scheme: 1 mark for each note

Asked in: · Unit 3 Performance Appraisal slides

Q13. [6 marks] Discuss the common biases in performance appraisal. How can an organisation minimise them?

Performance Appraisal

Introduction

Appraisal is done by people, so judgement errors (biases) may enter and make the result unfair.

Bias	Meaning	Example
Halo effect	One strong trait inflates the ratings on all traits	A punctual employee is rated high on everything
Horns effect	One weak trait lowers all ratings	One mistake colours the whole rating
Leniency bias	Rating higher than deserved	Giving all employees high scores
Strictness bias	Rating lower than deserved	Giving low scores to avoid raises
Central tendency	Rating everyone around the average to avoid hard talks	All employees rated 3
Recency effect	Judging only on recent events	Last month's performance only

How to minimise

- Train the appraisers.
- Set clear, objective criteria and KPIs.
- Give regular feedback and promote two-way dialogue, not once-a-year reviews.
- Use technology and 360-degree feedback.

Marking scheme: Introduction 0.5 · biases 3 · remedies 2.5

Asked in: Important Questions - Unit 3, Q7 · Unit 3 Performance Appraisal slides

Q14. [5 marks] What are the challenges of performance appraisal and how can they be overcome?

Performance Appraisal

Challenges

- **Biases of raters** such as halo, horns, leniency and central tendency.
- **Infrequent feedback:** in annual reviews employees come to know about problems only when it is too late for correction.
- **Unclear criteria** and lack of acceptance by employees.

Ways to overcome

- Promote **two-way dialogue and regular check-ins** instead of one annual review.
- Train appraisers.
- Set clear KPIs and share the criteria.
- Use technology and 360-degree feedback.

Marking scheme: Challenges 2.5 · remedies 2.5

Asked in: · Unit 3 Performance Appraisal slides

Q15. [2 marks] What is career management? Define career path.

Career Management

Career management is the **continuous process of preparing, implementing and monitoring career plans**. It can be done by the employee alone or together with the organisation.

A **career path** is the series of positions through which an individual can be promoted, transferred or rotated.

Example: HR Executive → Senior HR Executive → HR Manager → HR Director.

Marking scheme: Career management 1 · career path 0.5 · example 0.5

Asked in: Important Questions - Unit 3, Q8

Q16. [5 marks] Define career planning and career development. Explain their objectives and importance for employees and organisations.

Career Management

Introduction

Career planning is the process by which an individual identifies his career goals and the path to reach them. **Career development** is the process of systematically linking an individual's career needs with the organisation's workforce requirements.

Objectives

- Match individual aspirations with organisational opportunities.
- Retain and develop talented people.
- Prepare employees for future roles.

Importance

For employees	For the organisation
Clear goals and direction	A skilled and committed workforce
Growth, promotion and satisfaction	Lower turnover
Better use of strengths	A supply of future leaders

Marking scheme: Definitions 1.5 · objectives 1.5 · importance 2

Asked in: Important Questions - Unit 3, Q8

Q17. [6 marks] Distinguish between individual career management and organisational career management. Discuss the responsibilities of the individual, the manager and the organisation.

Career Management

Difference

Basis	Individual career management	Organisational career management
Focus	The person's own goals and needs	The organisation's workforce needs
Done by	The employee through self-assessment and planning	The organisation through planned career moves and programmes
Aim	Personal growth and satisfaction	A supply of skilled people for the firm

Responsibilities

Party	Responsibility
Individual	Self-assessment of aspirations and needs, setting goals, developing skills
Manager	Feedback, coaching, discussing career plans, supporting development
Organisation	Providing opportunities, training, career paths and information

Marking scheme: Difference 3 · responsibilities 3

Asked in: Important Questions - Unit 3, Q10

Q18. [2 marks] What is succession planning?

Succession Planning

Succession planning is the process of **identifying, evaluating, developing and tracking high-potential employees** for future leadership roles.

- It prepares replacements in advance so that the business runs smoothly when key people leave.
- It is part of strategic HR planning.

Example: A company grooms a general manager to become the next director.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 3, Q9

Q19. [3 marks] Explain the types of succession planning.

Succession Planning

1. **Strategic leadership development:** a long-term plan that prepares future leaders over several years.

2. **Departure-defined succession planning:** started only when a key employee leaves or is about to leave.
3. **Emergency / interim succession planning:** a short-term arrangement that temporarily assigns a replacement when a key person is suddenly unavailable, so that important responsibilities continue.

Marking scheme: Three types 1 each

Asked in: Important Questions - Unit 3, Q9

Q20. [5 marks] Explain the benefits and challenges of succession planning.

Succession Planning

Benefits

- **Leadership continuity** when key managers retire or resign.
- **Retention and motivation** - employees see growth opportunities.
- **Smooth running** of the business and reduced disruption.
- **Reduced cost and time** of finding a replacement in an emergency.

Challenges

- Resistance to change and lack of employee buy-in.
- Limited resources.
- Inadequate planning and incomplete information.

Marking scheme: Benefits 3 · challenges 2

Asked in: Important Questions - Unit 3, Q9

Q21. [10 marks] What is succession planning? Explain its process, objectives and benefits. How does it ensure leadership continuity in an organisation?

Succession Planning

1. Introduction

Succession planning is the process of identifying, evaluating, developing and tracking high-potential employees for future leadership roles. It helps a company to run smoothly when key people leave.

2. Process (steps)

1. Identify which **positions** are included in the plan.
2. Identify the **employees** who can fill them.
3. Set **standards** (competencies) for the positions.
4. Assess the **potential** of employees.
5. **Review** the process.
6. Link the plan with **HR systems** (training, appraisal, pay).
7. Give **feedback** to employees.
8. **Measure the effectiveness** of the plan.

3. Objectives

- Ensure leadership continuity.
- Build a pool of ready talent.
- Retain and motivate high performers.

4. Types

- Strategic leadership development, departure-defined and emergency / interim succession planning.

5. Benefits and challenges

Benefits	Challenges
Continuity of leadership	Lack of employee buy-in
Lower hiring cost and risk	Limited resources
Higher morale and retention	Inadequate planning and incomplete information

Example: A bank identifies 10 branch managers as future regional heads, trains them and rotates them so that any can take charge when the regional head retires.

6. Conclusion

Succession planning keeps a pipeline of ready leaders, ensuring that the organisation is never left without leadership.

> **Marking scheme:** Introduction 1 · process 3 · objectives 1 · types and benefits 2 · example 1 · conclusion 1 · challenges 1

Asked in: Important Questions - Unit 3, Q9

Q22. [3 marks] Define training and distinguish training from development.

Training & Development

Training is a short-term, systematic process of imparting specific knowledge and skills required for a present job (Flippo: increasing an employee's knowledge and skill for doing a particular job). **Development** is a long-term, education-oriented process aimed at overall growth and future roles.

Basis	Training	Development
Focus	Present job	Future role
Term	Short term	Long term
Orientation	Job / technical	Career / conceptual
Initiated by	Mainly organisation	Individual and organisation
Nature	Specific and narrow	Broad and general

Training = Today; Development = Tomorrow.

> **Marking scheme:** Definitions 1 · three differences 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q23. [5 marks] Explain the need and importance of training and the six steps of the training process.

Training & Development

Need and importance

- **For the organisation:** bridges skill gaps, improves quality and productivity, reduces wastage, errors and accidents, reduces supervision, prepares employees for higher responsibility and strengthens competitiveness and succession planning.
- **For the employee:** adapts to technology and changing jobs; increases confidence, morale and job satisfaction.

Training process

Flow: Assess organisational objectives and strategy → Training needs analysis → Set training goals → Design the programme → Execute → Evaluate results

A-T-G-D-E-E.

> **Marking scheme:** Need 2 · process 3

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q24. [6 marks] Explain the process of Training Needs Analysis (TNA). Discuss the three levels of analysis and the methods of TNA.

Training Needs Analysis

Definition

TNA is the systematic identification of the **gap between the knowledge, skills and performance required** for a job and those actually available.

Three levels (O-T-I)

Level	Question	What is examined
Organisational analysis	WHERE?	Goals, resources, efficiency indicators and climate - where training can help
Task / operational analysis	WHAT?	Job duties, standards and skills - what should be taught
Individual / person analysis	WHO?	Individual performance - who needs training and in what area

Methods of TNA

- Observation, interviews, surveys, performance appraisals, job analysis and focus groups.

Place in the training cycle

Flow: Objectives → TNA → Goals → Design → Execute → Evaluate

Marking scheme: Definition 1 · levels 3 · methods 1 · cycle 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Priority A - asked in the earlier test)

Q25. [6 marks] List and explain the methods of on-the-job and off-the-job training.

Training & Development

On-the-job training (given at the workplace while doing real work)

- **Job rotation** - moving across jobs or departments.
- **Coaching** - one-to-one guidance by an experienced person.
- **Job Instruction Training** - prepare, present, try-out, follow-up.
- **Committee assignments** - solve real problems in a team.
- **Understudy** / **apprenticeship** - work under a senior.
- **Internship** and **mentoring**.

Off-the-job training (away from the work spot)

- **Lecture** / **classroom** - theory.
- **Case study** - analyse real or simulated problems.
- **Role playing** - act out situations.
- **Business games** / **simulation**.
- **Sensitivity (T-group) training**.
- **Vestibule training** - replica equipment away from production.

Marking scheme: On-the-job 3 · off-the-job 3

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Priority A - asked in the earlier test)

Q26. [6 marks] Distinguish between on-the-job training and off-the-job training.

Training & Development

Basis	On-the-job training	Off-the-job training
Place	Actual workplace	Away from the workplace
Cost	Usually cheaper	Usually costlier
Approach	Practical	More theoretical / conceptual
Best fit	Production / job-specific work	Managerial and non-production learning
Trainer	Often an experienced employee	Experts / trainers
Core principle	Learning by performing	Learning by acquiring knowledge

One-line recall: OJT = learn by doing at work; off-the-job = learn away from the job.

Marking scheme: Six bases, 1 each

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q27. [3 marks] What is management development? State its objectives and methods.

Management Development

Management development is a **planned, continuous process of improving the conceptual, human and**

decision-making abilities of present and future managers. It is future oriented and helps to prepare successors.

- **Objectives:** improve managerial performance, prevent skill obsolescence, identify future leaders.
- **On-the-job:** job rotation, coaching, understudy. **Off-the-job:** case study, in-basket, sensitivity training.

Marking scheme: Meaning 1 · objectives 1 · methods 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q28. [6 marks] Explain the Kirkpatrick and CIPP models of training evaluation and the methods of evaluating training effectiveness.

Training Evaluation

Introduction

Training evaluation checks whether the programme met its objectives, improved learning and behaviour, improved organisational performance and generated value.

Kirkpatrick's four-level model (R-L-B-R)

Level	Question
1. Reaction	How did they feel?
2. Learning	What did they learn?
3. Behaviour	Did work change?
4. Results	What was the business impact?

CIPP model - Daniel Stufflebeam

Component	Meaning
Context	Need / problem - why?
Input	Resources and plan - with what?
Process	Implementation - how executed?
Product	Outcomes - what came out?

Tools of evaluation

- Questionnaires and feedback forms; written tests; performance observation and checklists; interviews and focus groups; performance metrics and business data.

Marking scheme: Introduction 0.5 · Kirkpatrick 2 · CIPP 2 · tools 1.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Priority A - asked in the earlier test)

Q29. [3 marks] Explain the objectives of performance appraisal (F-P-T-S-C-C).

Performance Appraisal

1. **Feedback** - identify strengths and weaknesses.
2. **Personnel decisions** - promotion, transfer and other decisions.
3. **Training** - identify training and development needs.
4. **Standards** - set performance standards and improve future performance.
5. **Compensation** - reward decisions where appropriate.
6. **Career** - basis for career development and succession planning.

Marking scheme: Six objectives, 0.5 each

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q30. [5 marks] Explain the common biases in performance evaluation (H-H-R-L-S-C-S-C).

Performance Appraisal

Bias	Meaning
Halo effect	One strong quality influences the whole rating
Horns effect	One negative quality lowers the whole rating

Recency effect	Recent performance dominates judgement
Leniency	Rater gives unusually high scores
Strictness	Rater gives unusually low scores
Central tendency	Rater avoids extremes and scores most people near the middle
Similarity bias	Rater favours people who resemble the rater
Contrast effect	Rating influenced by comparison with another employee rather than the standard

Remedies: train appraisers, set clear KPIs, give regular two-way feedback, use 360-degree feedback.

> **Marking scheme:** Eight biases 0.5 each · remedies 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q31. [3 marks] Explain the stages of a career.

Career Management

Stage	Meaning
Exploration	Interests and options are identified
Establishment	Entry and early growth
Mid-career	Consolidation, advancement or change
Late career	Mentoring, senior responsibility and preparation for retirement
Decline / retirement	Reduced work role and transition

Career planning helps an individual choose the path through these stages.

> **Marking scheme:** Five stages with meaning

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q32. [5 marks] Explain career stages, succession planning and individual vs organisational career management.

Career Management

Career stages

- Exploration → establishment → mid-career → late career → decline / retirement.

Succession planning

The systematic identification and development of employees who can take over key positions when vacancies arise; it reduces disruption, preserves organisational knowledge and supports leadership continuity.

Individual vs organisational career management

Perspective	Main focus
Individual	Self-assessment, career goals, skill development, job choices and career decisions
Organisation	Career paths, development programmes, internal mobility, succession planning, opportunities

Best result: employee aspirations should connect with organisational opportunities. The individual chooses the direction; the organisation creates the opportunities.

> **Marking scheme:** Stages 1 · succession 2 · individual vs organisation 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Part D - MCQs (30) - answers at the end

1. Systematically linking an individual's career needs with the organisation's workforce requirements is
- A. job evaluation
- B. collective bargaining
- C. career development
- D. retrenchment

2. The stage of career in which interests and options are identified is
- A. decline
- B. establishment
- C. late career
- D. exploration

3. Valuing human resources as organisational assets rather than expenses is done through
- A. Essay evaluation and the check list method of appraisal
- B. Human Resource (Asset) Accounting
- C. Straight ranking and paired comparison of employees
- D. Critical incident records and the confidential reports

4. Comparing actual performance with the set standards comes
- A. before establishing standards
- B. after measuring actual performance
- C. before communicating standards
- D. after corrective action

5. Which is NOT a feature of performance appraisal?
- A. Random and unplanned process
- B. Periodic and planned
- C. Objective assessment
- D. Systematic process

6. Organisational career management focuses on
- A. fulfilling the personal hobbies and interests of employees outside work
- B. reducing the number of positions available for promotion
- C. deciding the career path of each employee without consulting him
- D. meeting the organisation's workforce needs through planned career moves

7. A key benefit of succession planning is
- A. leadership continuity when key managers leave
- B. removal of the need for any training of managers in the future
- C. avoiding any link with the employee's performance
- D. lower promotion opportunities and a rise in dismissals of managers

8. Performance appraisal is the systematic evaluation of an employee's
- A. seniority and the length of service of the employee only
- B. religion and caste of the employee who is being evaluated
- C. family background and the social status of the employee concerned
- D. performance and potential in relation to job requirements

9. In SMART goals, the letter 'R' stands for
- A. Realistic and Rigid
- B. Ranked
- C. Result-oriented
- D. Rewarding

10. Performance evaluation is NOT the same as

A. periodic review
B. employee feedback
C. systematic assessment
D. job evaluation

11. Which of the following is a MODERN method of performance appraisal?
A. Essay evaluation
B. Paired comparison
C. Confidential reports
D. 360-degree appraisal

12. BARS combines the rating scale with the
A. paired comparison
B. forced distribution
C. critical incident concept
D. essay method

13. In MBO the manager and employee
A. rate the personality traits of the employees only each year
B. compare the employees with each other only and rank them
C. agree on clear objectives and the employee is assessed on results
D. avoid setting any goals and wait for the end of the year

14. Training is mainly aimed at
A. improving employees' skills for their present jobs
B. increasing the dividend paid to the shareholders of the firm
C. reducing the number of employees on the rolls of the company
D. preparing employees for senior positions they may hold in the distant future

15. Which is a method of TNA?
A. Price survey
B. Sales review
C. Balance sheet audit
D. Focus groups

16. Training that uses a replica of the actual workplace away from production is
A. coaching
B. job rotation
C. apprenticeship
D. vestibule training

17. 'How did they feel?' corresponds to Kirkpatrick's level
A. Reaction
B. Learning
C. Behaviour
D. Results

18. Which is the FIRST step in developing a succession plan?
A. Provide feedback to employees
B. Measure the effectiveness of the process
C. Identify which positions are included in the plan
D. Link the plan with HR systems

19. Succession planning triggered only when a key employee leaves is
A. departure-defined succession planning
B. strategic leadership development
C. emergency succession
D. career pathing

20. Practising on replica equipment away from production is called

A. vestibule training
B. job rotation through different departments of the organisation
C. coaching by an experienced person at the actual work place
D. understudy to a senior who will be replaced in future

21. Infrequent feedback in annual reviews is a challenge because

A. it makes the appraisal system more objective and accurate
B. it motivates all the employees to improve their performance
C. it gives the employee a chance to correct the mistake immediately
D. employees do not know about problems until it is too late

22. Training is best described as

A. a wage-fixing method used to decide the pay of different jobs
B. a long-term education process aimed at the future roles of managers
C. a short-term systematic process of imparting knowledge and skills for a present job
D. a process of choosing suitable candidates from the pool of applicants

23. Which TNA level asks 'WHO needs training?'

A. Task analysis
B. Individual / person analysis
C. Organisational analysis
D. Market analysis

24. Beach defines performance appraisal as evaluating systematically the performance of an individual on the job and also his or her

A. wage structure and fringe benefits
B. family background and social status
C. potential for development
D. seniority and length of service only

25. The three levels of TNA are

A. organisational, task and individual
B. short-term, medium-term and long-term
C. internal, external and global
D. strategic, tactical and operational plans

26. Career management is the

A. one-time test conducted at recruitment to decide an employee's pay grade
B. scheme of paying bonus to employees on the basis of company profit
C. continuous process of preparing, implementing and monitoring career plans
D. procedure of discharging surplus employees when the company downsizes

27. Person analysis of training needs identifies

A. which employees need training and what type
B. the goals and strategies of the organisation for the next five years
C. the equipment and budget available for the training programme
D. the duties and tasks to be performed in a particular job

28. Job Instruction Training (JIT) follows the steps

A. hire, fire, rehire, retire
B. plan, sell, collect, audit
C. read, test, rest, repeat
D. prepare, present, try-out, follow-up

29. A merit of on-the-job training is that it

A. conducted in a classroom away from the work, with no disturbance to production
B. is practical and low cost as learning happens at the actual workplace

C. particularly suited for theoretical and conceptual knowledge only
D. free from any risk of errors or damage to machines by the trainee

30. Placing all employees at the average of the scale to avoid hard conversations is
A. central tendency
B. leniency
C. halo effect
D. horns effect

MCQ answer key

1. **C**	6. **D**	11. **D**	16. **D**	21. **D**	26. **C**
2. **D**	7. **A**	12. **C**	17. **A**	22. **C**	27. **A**
3. **B**	8. **D**	13. **C**	18. **C**	23. **B**	28. **D**
4. **B**	9. **C**	14. **A**	19. **A**	24. **C**	29. **B**
5. **A**	10. **D**	15. **D**	20. **A**	25. **A**	30. **A**

MCQ answers with explanations

1. Systematically linking an individual's career needs with the organisation's workforce requirements is

Answer: C. career development

Why correct: Career development links personal career needs with the organisation's workforce needs.

A is wrong: Job evaluation values jobs.

B is wrong: Collective bargaining negotiates terms.

D is wrong: Retrenchment removes surplus staff.

2. The stage of career in which interests and options are identified is

Answer: D. exploration

Why correct: Exploration = identifying interests.

A is wrong: Decline = reduced role.

B is wrong: Establishment = entry and early growth.

C is wrong: Late career = mentoring and retirement preparation.

3. Valuing human resources as organisational assets rather than expenses is done through

Answer: B. Human Resource (Asset) Accounting

Why correct: Human Resource Accounting values people as assets.

A is wrong: Essay and check list are traditional methods.

C is wrong: Ranking and paired comparison are traditional methods.

D is wrong: Critical incidents and confidential reports are traditional methods.

4. Comparing actual performance with the set standards comes

Answer: B. after measuring actual performance

Why correct: You must measure performance before comparing it with standards.

A is wrong: Standards come first.

C is wrong: Communication is before measuring.

D is wrong: Corrective action is after comparing.

5. Which is NOT a feature of performance appraisal?

Answer: A. Random and unplanned process

Why correct: Appraisal is planned and systematic, never random.

B is wrong: It is periodic and planned.

C is wrong: It should be objective.

D is wrong: It is systematic.

6. Organisational career management focuses on

Answer: D. meeting the organisation's workforce needs through planned career moves

Why correct: Organisational career management meets the firm's workforce needs through planned moves.

A is wrong: Hobbies are not its focus.

B is wrong: Reducing positions is not the aim.

C is wrong: Deciding without consulting is poor practice.

7. A key benefit of succession planning is

Answer: A. leadership continuity when key managers leave

Why correct: Succession planning keeps leadership continuous when key managers leave.

B is wrong: It needs more training, not none.

C is wrong: It is linked to performance.

D is wrong: It aims to increase, not reduce, opportunities.

8. Performance appraisal is the systematic evaluation of an employee's

Answer: D. performance and potential in relation to job requirements

Why correct: It judges performance and potential.

A is wrong: Seniority alone is not appraisal.

B is wrong: Not relevant.

C is wrong: Not relevant.

9. In SMART goals, the letter 'R' stands for

Answer: C. Result-oriented

Why correct: In SMART, R = Result-oriented.

A is wrong: Realistic is one reading, but the course slide says Result-oriented.

B is wrong: Ranked is not in SMART.

D is wrong: Rewarding is not in SMART.

10. Performance evaluation is NOT the same as

Answer: D. job evaluation

Why correct: Performance evaluation judges the person; job evaluation judges the worth of the job.

A is wrong: Periodic review is part of evaluation.

B is wrong: Feedback is part of evaluation.

C is wrong: Systematic assessment is evaluation.

11. Which of the following is a MODERN method of performance appraisal?

Answer: D. 360-degree appraisal

Why correct: 360-degree appraisal is a modern method.

A is wrong: Essay evaluation is traditional.

B is wrong: Paired comparison is traditional.

C is wrong: Confidential reports are traditional.

12. BARS combines the rating scale with the

Answer: C. critical incident concept

Why correct: BARS (Behaviourally Anchored Rating Scale) joins a numeric scale with critical incidents - real behaviour examples placed at each scale point.

A is wrong: Paired comparison compares two employees at a time.

B is wrong: Forced distribution fits people into fixed percentage groups; it has no behaviour anchors.

D is wrong: The essay method is free-written description without a scale.

13. In MBO the manager and employee

Answer: C. agree on clear objectives and the employee is assessed on results

Why correct: MBO is results-based.

A is wrong: That is trait rating.

B is wrong: That is ranking.

D is wrong: MBO needs goals.

14. Training is mainly aimed at

Answer: A. improving employees' skills for their present jobs

Why correct: Training improves skills for the present job.

B is wrong: Dividends are not a training aim.

C is wrong: Training does not aim to cut staff.

D is wrong: Preparing for senior roles is development.

15. Which is a method of TNA?

Answer: D. Focus groups

Why correct: Focus groups gather training needs.

A is wrong: Not a TNA method.

B is wrong: Not a TNA method.

C is wrong: Not a TNA method.

16. Training that uses a replica of the actual workplace away from production is

Answer: D. vestibule training

Why correct: Vestibule training uses a replica of the workplace.

A is wrong: Coaching is on the job.

B is wrong: Job rotation is on the job.

C is wrong: Apprenticeship is on the job.

17. 'How did they feel?' corresponds to Kirkpatrick's level

Answer: A. Reaction

Why correct: Level 1 = Reaction.

B is wrong: Learning asks what they learned.

C is wrong: Behaviour asks whether work changed.

D is wrong: Results asks about business impact.

18. Which is the FIRST step in developing a succession plan?

Answer: C. Identify which positions are included in the plan

Why correct: A plan starts by deciding which positions it will cover.

A is wrong: Feedback comes near the end.

B is wrong: Measuring effectiveness is the last step.

D is wrong: Linking with HR systems is a later step.

19. Succession planning triggered only when a key employee leaves is

Answer: A. departure-defined succession planning

Why correct: Departure-defined planning starts only when someone actually leaves.

B is wrong: Strategic leadership development is planned long before.

C is wrong: Emergency succession covers sudden short-term gaps.

D is wrong: Career pathing is planned movement, not triggered by departure.

20. Practising on replica equipment away from production is called

Answer: A. vestibule training

Why correct: Vestibule = replica workplace.

B is wrong: Job rotation is on the job.

C is wrong: Coaching is on the job.

D is wrong: Understudy is on the job.

21. Infrequent feedback in annual reviews is a challenge because

Answer: D. employees do not know about problems until it is too late

Why correct: Rare feedback means employees find out about problems too late.

A is wrong: Infrequent feedback makes the system less accurate, not more.

B is wrong: Late feedback demotivates rather than motivates.

C is wrong: Immediate correction is what frequent feedback gives, not rare feedback.

22. Training is best described as

Answer: C. a short-term systematic process of imparting knowledge and skills for a present job

Why correct: Training is short-term and job-specific.

A is wrong: That is wage determination.

B is wrong: That is development.

D is wrong: That is selection.

23. Which TNA level asks 'WHO needs training?'

Answer: B. Individual / person analysis

Why correct: Person analysis shows who needs training.

A is wrong: Task asks what.

C is wrong: Organisational asks where.

D is wrong: Not a TNA level.

24. Beach defines performance appraisal as evaluating systematically the performance of an individual on the job and also his or her

Answer: C. potential for development

Why correct: Beach's definition adds the person's potential for development.

A is wrong: Wages are not part of it.

B is wrong: Family background is irrelevant.

D is wrong: Seniority alone is not appraisal.

25. The three levels of TNA are

Answer: A. organisational, task and individual

Why correct: O-T-I = Organisation, Task, Individual.

B is wrong: Time periods are not TNA levels.

C is wrong: These describe environments.

D is wrong: These describe plans.

26. Career management is the

Answer: C. continuous process of preparing, implementing and monitoring career plans

Why correct: Career management is the ongoing process of preparing, implementing and monitoring career plans.

A is wrong: A one-time test at recruitment is not an ongoing process.

B is wrong: Profit bonus is a reward scheme, not career management.

D is wrong: Downsizing is workforce reduction.

27. Person analysis of training needs identifies

Answer: A. which employees need training and what type

Why correct: Person analysis finds who needs training and what kind.

B is wrong: Organisation goals are organisational analysis.

C is wrong: Equipment and budget are resources.

D is wrong: Tasks and duties are task analysis.

28. Job Instruction Training (JIT) follows the steps

Answer: D. prepare, present, try-out, follow-up

Why correct: JIT has four steps.

A is wrong: Not JIT.

B is wrong: Not JIT.

C is wrong: Not JIT.

29. A merit of on-the-job training is that it

Answer: B. is practical and low cost as learning happens at the actual workplace

Why correct: On-the-job training is practical and cheap since people learn at the real workplace.

A is wrong: Classroom is off-the-job.

C is wrong: It suits practical skills, not only theory.

D is wrong: Errors and damage are possible.

30. Placing all employees at the average of the scale to avoid hard conversations is

Answer: A. central tendency

Why correct: Central tendency puts everyone around the middle to avoid extremes and tough talks.

B is wrong: Leniency gives high scores, not average ones.

C is wrong: Halo effect lifts all scores because of one good trait.

D is wrong: Horns effect lowers all scores because of one bad trait.